

1. Liquidity Ratios:

a. Current ratio = $\frac{\text{Current assets}}{\text{Current liabilities}}$

b. Quick ratio = $\frac{\text{Quick assets}}{\text{Current liabilities}}$

2. Solvency Ratios:

a. Debt-equity ratio = $\frac{\text{Long-term debt}}{\text{Shareholders' fund/equity}}$

OR $= \frac{\text{Total debts}}{\text{Shareholders' fund/Net worth}}$

b. Debt to total capital ratio = $\frac{\text{Long-term debt}}{\text{Capital employed}}$

OR $= \frac{\text{Total debt}}{\text{Total capital}}$

3. Turnover Ratios:

a. Inventory turnover = $\frac{\text{Cost of goods sold}}{\text{Average inventory}}$

OR $= \frac{\text{Net sales}}{\text{Closing inventory}}$

b. Debtors turnover ratio = $\frac{\text{Net credit sales}}{\text{Average debtors}}$

OR $= \frac{\text{Total sales (net)}}{\text{Closing debtors}}$

c. Average collection period = $\frac{\text{Days in a year}}{\text{debtor's turnover ratio}}$

OR $= \frac{\text{Days in year} \times \text{Average debtors}}{\text{Net credit sales}}$

(b)

$$\text{OR } \frac{\text{Days in a year} \times \text{Closing debtors}}{\text{Net sales}} \\ = \dots \text{ days}$$

$$\text{d. Fixed assets turnover} = \frac{\text{Net Sales}}{\text{Net fixed assets}} = \dots \text{ times}$$

$$\text{e. Total assets turnover ratio} = \frac{\text{Net sales}}{\text{Total assets}}$$

$$\text{OR } \frac{\text{Net sales}}{\text{Total tangible assets}} = \dots \text{ times}$$

$$\text{f. Capital employed turnover ratio} \\ = \frac{\text{Net Sales}}{\text{Capital employed or Permanent capital}}$$

4. Profitability Ratios:

$$\text{a. Gross profit margin} = \frac{\text{Gross profit}}{\text{Net sales}} \times 100$$

$$\text{OR } \frac{\text{Sales} - \text{Cost of goods sold}}{\text{Net sales}} \times 100$$

$$\text{b. Net profit margin} = \frac{\text{Net profit after tax}}{\text{Sales}} \times 100$$

$$\text{c. Return on assets} \\ = \frac{\text{Net profit after tax} + \text{Interest expenses}}{\text{Total assets}} \times 100$$

$$\text{OR, } = \frac{\text{Net profit after tax}}{\text{Total assets}} \times 100$$

$$\text{OR, } = \frac{\text{Net profit after tax} + \text{Interest}}{\text{Total tangible assets}} \times 100$$

$$\text{d. Return on shareholders' equity} \\ = \frac{\text{Net profit after tax}}{\text{Shareholders' funds}} \times 100$$

$$\text{e. Return on equity Shareholders' fund} \\ = \frac{\text{NPAT} - \text{Preference dividend}}{\text{Equity shareholders' fund}}$$

$$\text{f. Return on capital employed} \\ = \frac{\text{Net profit after tax} + \text{Interest}}{\text{Capital employed}} \times 100$$

$$\text{g. Earning per share} \\ = \frac{\text{Net profit after taxes} - \text{Preference dividend}}{\text{No. of common shares outstanding}}$$

$$\text{h. Dividend per share} \\ = \frac{\text{Dividend paid to equity shareholders}}{\text{No. of common shares outstanding}}$$